Unit 11

CAPITAL AND REVENUE TRANSACTIONS

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Points to recall

The following points are to be recalled before learning capital and revenue transactions:

- Matching concept
- Periodicity concept
- Income and expenditure

Learning Objectives

To enable the students to

- Understand the meaning of capital and revenue expenditure and capital and revenue receipts
- Understand the meaning of deferred revenue expenditure
- Analyse the transactions to classify into capital and revenue items

Key terms to know

- Capital expenditure
- Revenue expenditure
- Deferred revenue expenditure
- Capital receipts
- Revenue receipts

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